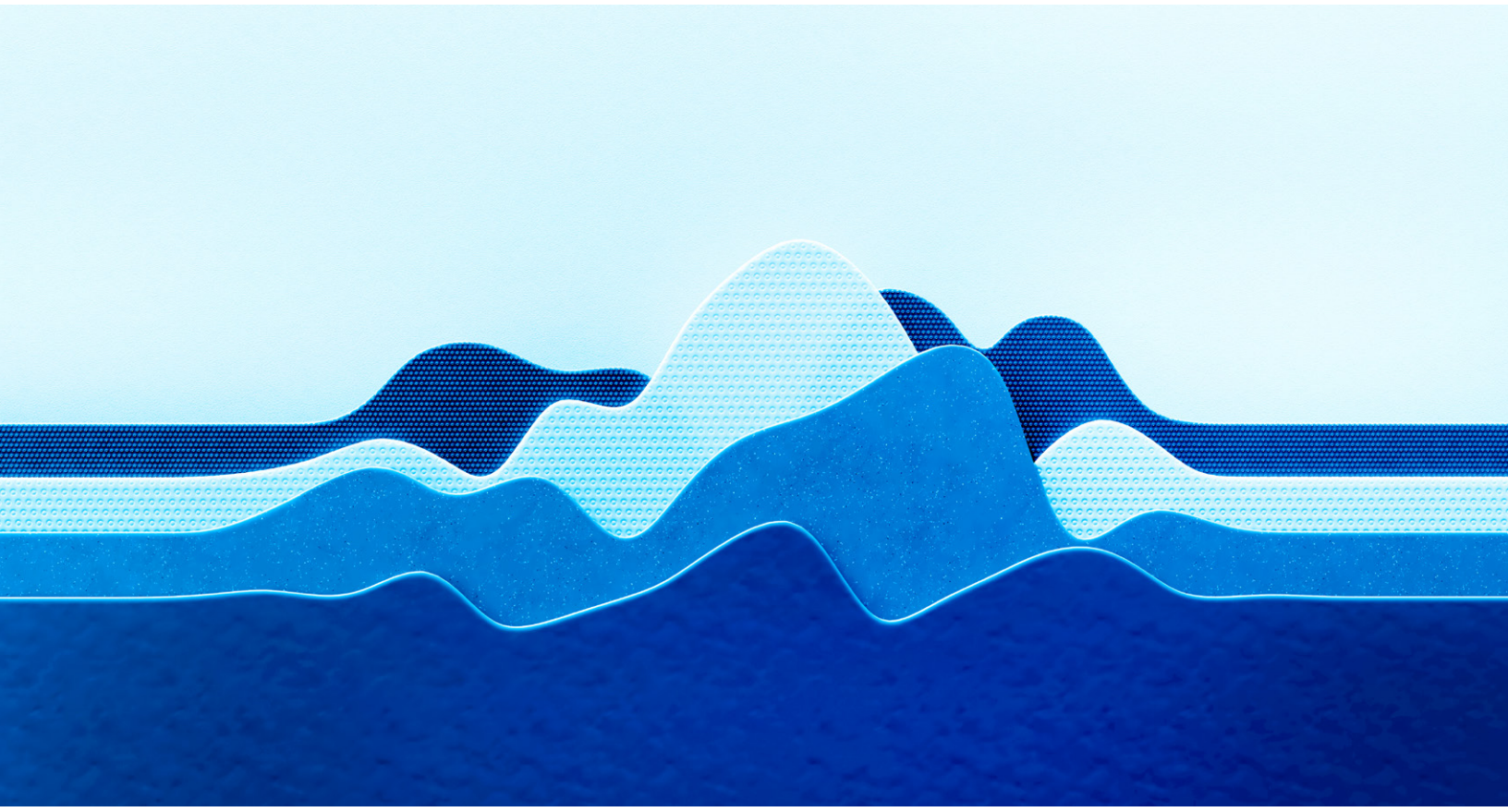
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Strategy & Corporate Finance Practice

Economic conditions outlook, December 2025

In a reversal from earlier in the year, economic sentiment turns more optimistic, with declining focus on trade policy and growing confidence in companies' prospects.

by Sven Smit
with Jeffrey Condon and Krzysztof Kwiatkowski



December 2025

After two quarters of cautious views on the economy and heightened focus on trade policy, surveyed executives are closing out 2025 with more confidence in both the macroeconomic environment and in their organizations' performance. In the latest McKinsey Global Survey on economic conditions,[1] respondents express the brightest near-term expectations seen this year.

For the past two quarters, trade policy changes were the top perceived risk to growth in the global economy, in respondents' countries, and in their own companies. Now, respondents turn their attention toward geopolitical instability and conflicts, though trade-related changes continue to be a commonly cited risk to growth. Respondents also report growing confidence in their companies' outlook, as leaders prioritize their customers and their technology investments over macroeconomic considerations.

Economic sentiment takes a positive turn

After three quarters of largely negative assessments of current global conditions, respondents now report more even-keeled views of the present economy as well as increased optimism for the future. In the latest survey, respondents are about equally likely to say conditions have improved or worsened (Exhibit 1).

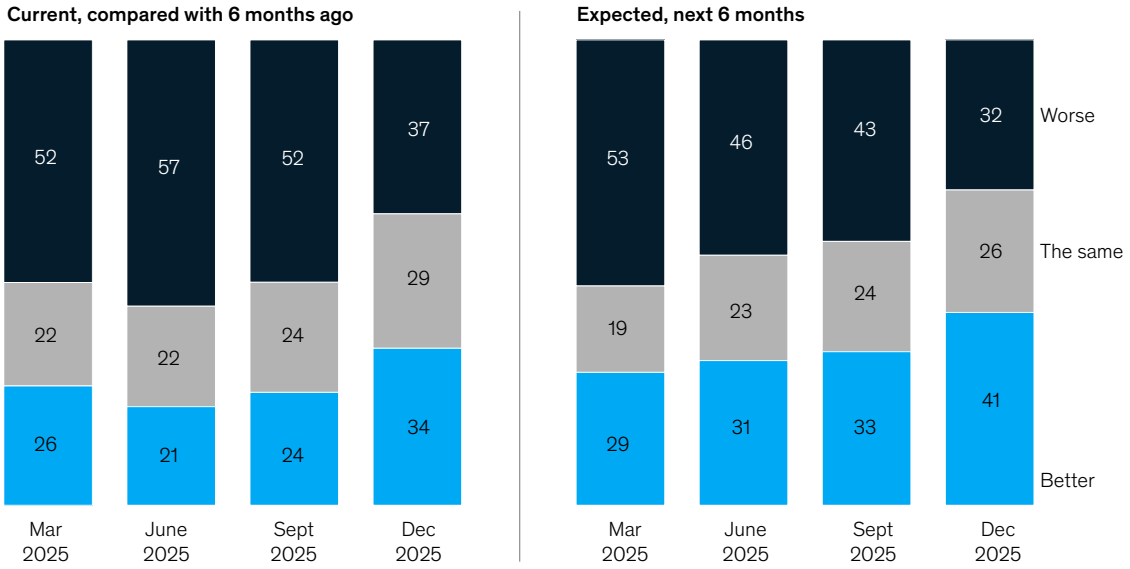
Survey respondents express the brightest near-term expectations seen this year.

[1] The online survey was in the field from November 24 to December 5, 2025, and garnered responses from 1,011 participants in 81 nations representing the full range of regions, industries, company sizes, functional specialties, and tenures. To adjust for differences in response rates, the data are weighted based on each respondent's nation, taking into consideration its contribution to the region's share of the global GDP (based on purchasing-power parity). Prior to 2025, the survey employed a country-based weighting scheme to align with global GDP (based on purchasing-power parity). The new region-based weighting scheme limits over- or underrepresentation of individual countries and improves weighting efficiency of the data set overall.

Exhibit 1

Respondents share more upbeat views on the global economy than they did earlier in 2025.

Global economic conditions,[1] % of respondents



Note: Figures may not sum to 100%, because of rounding.
[1]Feb 26–Mar 7, 2025, n = 988; May 29–June 6, n = 898; Aug 27–Sept 5, n = 799; Nov 24–Dec 5, n = 1,011.
Source: McKinsey Global Surveys on economic conditions, 2025

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We see a similarly positive shift in sentiment when looking at expectations for the next six months. For the first time in 2025, the share of respondents predicting improvement is larger than the share expecting worsening conditions.

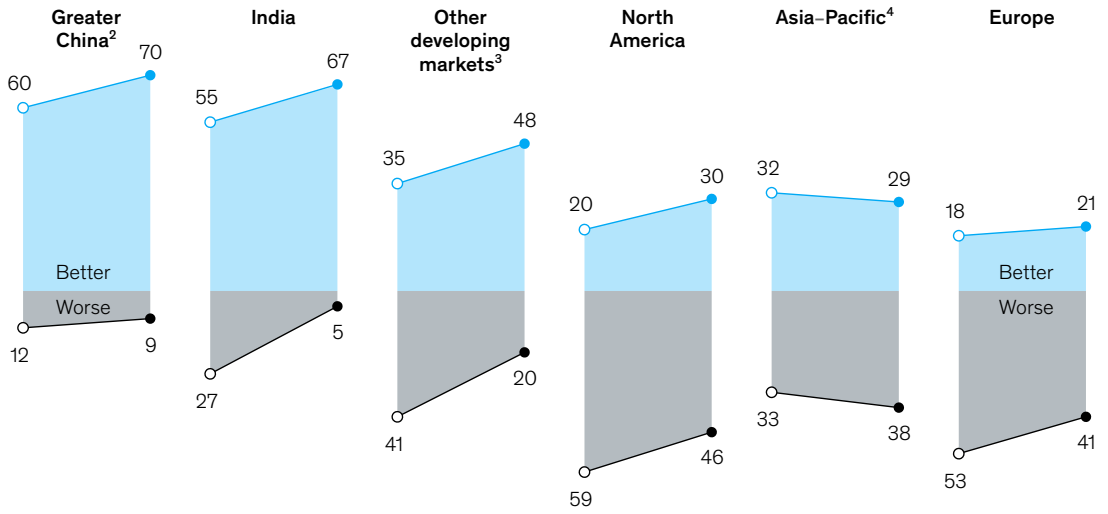
Views about respondents' own countries have also brightened, with respondents about equally likely to say economic conditions in their countries have improved or worsened in the past six months. Thirty-seven percent now say conditions are better than six months ago, up from 31 percent in the September survey.

Expectations for respondents' countries in the next six months are more upbeat. Forty-two percent expect conditions in their countries to improve in the next six months—an increase from 34 percent in September—and just 28 percent now predict declining conditions. A look at the data by region shows the largest jump in optimism within developing markets in Africa, Central and South America, and the Middle East (Exhibit 2). Respondents in Greater China and India remain the most optimistic, and those in North America and Europe are more likely now than they were in September to expect stable or improving conditions.

Exhibit 2

Optimism over near-term domestic conditions has increased since September.

Expected change in economic conditions in respondents' countries, next 6 months,[1] % of respondents



[1]Respondents who said "stay the same" or "don't know" are not shown. In Sept, n = 799. In Dec, n = 1,011.
[2]Includes Hong Kong, Macau, and Taiwan.
[3]Includes respondents in Central and South America, Middle East, North Africa, and sub-Saharan Africa.
[4]Excludes respondents in Greater China and India.
Source: McKinsey Global Surveys on economic conditions, 2025

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Trade policy concerns recede

In the latest survey, cautious views about trade-related policy changes have taken a back seat to other potential risks to the economy and to companies' performance. Whereas in June and September, trade policy changes were the most-cited potential disruption to the global economy, the share pointing to trade has now meaningfully decreased (Exhibit 3). Geopolitical instability has reemerged as the most-cited risk, and respondents point to trade policy changes second most often.

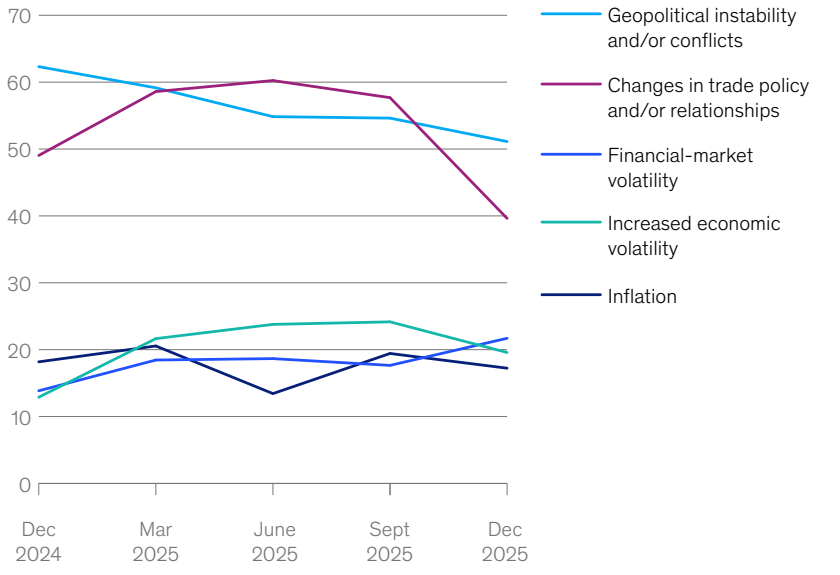
Looking at respondents' economies, a smaller share of respondents than in the previous three quarters point to trade-related policy changes as a risk to their countries' growth. However, such changes are still viewed as a significant disruption, cited second most often after geopolitical instability and conflicts. Domestic political conflicts are top of mind, as well, particularly among respondents in developing markets, Europe, and North America. Additionally, for the first time since March, inflation has reemerged as one of the top five perceived risks, most cited by respondents in North America.

Concern over the impact of trade policies on company performance has also decreased as companies focus on their customers instead of the macroeconomy. Following two quarters in which trade policy changes were the most-cited risk to companies' performance, customer demand is now top of mind for the first time since December 2024.

Exhibit 3

Geopolitical instability returns to being the most commonly perceived risk to global economic growth.

Biggest potential risks to global economic growth, next 12 months,[1]
% of respondents



[1]The 5 topics shown are the most commonly cited out of 15 topics offered as answer choices. Nov 27–Dec 6, 2024, n = 912; Feb 26–Mar 7, 2025, n = 988; May 29–June 6, n = 898; Aug 27–Sept 5, n = 799; Nov 24–Dec 5, n = 1,011.
Source: McKinsey Global Surveys on economic conditions, 2024–25

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Confidence in companies' prospects grows

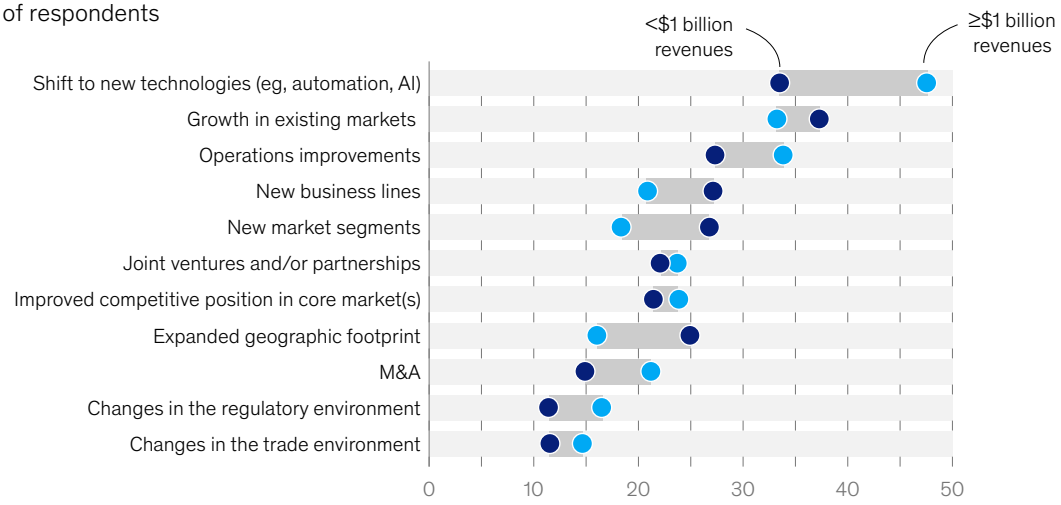
Overall, private sector respondents' expectations for their companies' performance are more upbeat than they were earlier this year as well. Sixty-three percent of respondents say their companies' profits will increase in the next six months—the largest share since December 2024. Also, for the first time in 2025, more than half of respondents (52 percent) expect customer demand for their companies' products or services to increase in the next six months. Respondents in several industries—particularly financial services and energy and materials—end the year much more optimistic about demand than they were one year ago.

Technology is top of mind as a growth opportunity, particularly at larger companies. Last quarter, private sector respondents most often pointed to growth in existing markets as the biggest potential opportunity for their companies' growth. While opportunities in existing markets remain a top priority—especially for smaller companies—in the latest survey, shifting to new technologies is the most-cited opportunity for the next 12 months. It is much more commonly cited among respondents working at companies with revenues of $1 billion or more (Exhibit 4).

Exhibit 4

Respondents at larger companies are more likely than others to view new technologies as a top opportunity for their organization.

Biggest opportunities for respondents' companies, next 12 months, by company revenue size,[1]
% of respondents



[1]Respondents were able to make up to 3 selections. For respondents at companies with annual revenues of $1 billion or more, n = 322. For respondents at companies with revenues under $1 billion, n = 547.
Source: McKinsey Global Surveys on economic conditions, Nov 24–Dec 5, 2025

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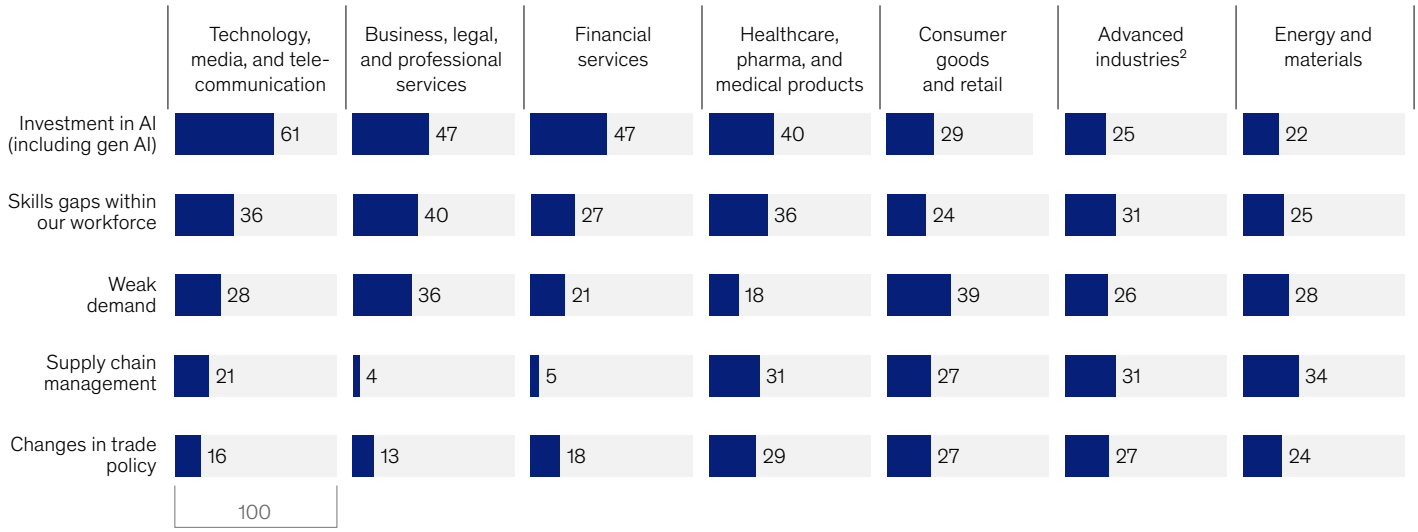
Overall, investment in AI and gen AI continues to be the most reported high priority for business leaders to address, particularly in technology, media, and telecommunications and in service industries (Exhibit 5).

Executives are ending the year on an optimistic note, with global economic expectations brighter than at any point in 2025 and confidence in domestic economies rising across developed and emerging markets alike. As concerns about trade policy recede, executives anticipate stronger demand and profits in 2026 as they turn their attention toward their customers and technology investments—especially in AI.

Exhibit 5

AI investment is a common top priority for leaders in technology and service-focused industries.

Highest priorities for leaders at respondent's company,[1] % of respondents



[1]The 5 topics shown are the most commonly cited out of 14 topics offered as answer choices. Respondents were allowed to make up to 3 selections.
[2]"Advanced industries" includes respondents working in advanced electronics, aerospace and defense, automotive and assembly, and semiconductors.
Source: McKinsey Global Surveys on economic conditions, 1,011 participants at all levels of the organization, Nov 24–Dec 5, 2025

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